

RSM219 – CLASS 4

JOURNAL ENTRIES

What is a Journal Entry?

- Captures a transaction in a clear and concise manner.
- Allows organizations to record transactions.
- Essentially, they translate transactions into the “accounting language”

DATE	Account & Explanation	Debit	Credit

What is a Journal Entry?

DATE	Account & Explanation	Debit	Credit
July 1	Cash	10,000	
	Common Shares		10,000
	To record issuance of 500 Shares		

1. The Date captures the timing of the transaction or adjustment. This is important since financial statements are prepared at a specific dates. This helps to determine if a transaction should be included in the FS for a given period.
2. Accounts will help us identify which financial elements are impacted by the transactions.
3. The explanation will help to summarize some key details of the transaction in case any questions arise or if it needs to be reviewed or audited later on.
4. The Debits will always be on the left while the credits will always be on the right. Debits and Credits will capture the \$ movement in the specific account. A Debit and Credit will signal whether the amount is increasing or decreasing the balance of a specific Financial Statement without needing to use + / -.
5. For any transaction, all debits must equal the credits.

How do Debits and Credits Work

Balance Sheet					Income Statement		
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense = Net Income
ASSETS		LIABILITIES + EQUITY			Increases Equity	Decreases Equity	
DEBIT balance		CREDIT balance			CREDIT balance	DEBIT balance	

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

T-Accounts

Journal entry ► how a transaction is recorded into an accounting system

T-Accounts ► where the transaction is kept

Think of T-Accounts as being a data base – it is where the journal entry goes.

Debits	Credits	Debits	Credits	Debits	Credits	Debits	Credits

1.2 THL Journal Entries

Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
N/A	+	\$3,000 Inventory	=	\$3,000 Accounts Payable	+	N/A	+	N/A	N/A	-	N/A	=	N/A

THL's purchase increased its inventory asset by \$3,000 and simultaneously increased its liabilities by \$3,000 (accounts payable) since the payment is deferred. As both assets and liabilities increase by the same amount, there is no immediate effect on equity, meaning neither contributed nor earned equity is affected by this transaction.

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
July 15	Inventory	3,000	
	A/P		3,000
	to record purchase of inventory		

1.3 THL Journal Entries

Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
\$(6,000) <i>Investing outflow</i>	+	\$6,000 Equipment	=	N/A	+	N/A	+	N/A	N/A	-	N/A	=	N/A

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
July 15	PPE	6,000	
	Cash		6,000
	To record purchase of equipment		

1.4 THL Journal Entries

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	- Expense = Net Income
\$6,000 <i>Financing inflow</i>	+	N/A	=	\$6,000 Bank Loan	+	N/A	+	N/A	N/A	- N/A = N/A

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
<i>July 31</i>	<i>Cash</i>	<i>6,000</i>	
	<i>Bank Loan</i>		<i>6,000</i>
	<i>To record receipt of funds from Bank Loan</i>		

2.1 THL Journal Entries

Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
(\$1,000) <i>Operating outflow</i>	+	\$1,000 Prepaid rent	=	N/A	+	N/A	+	N/A	N/A	-	N/A	=	N/A

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 1	Prepaid Rent	1,000	
	Cash		1,000
	Prepaid rent for August for Pop-up Shop		

2.2 THL Journal Entries

Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
(\$1,500) <i>Operating outflow</i>	+	\$1,500 Damage deposit	=	N/A	+	N/A	+	N/A	N/A	-	N/A	=	N/A

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 1	Deposit Receivable	1,500	
	Cash		1,500
	Paid Refundable Damage Deposit for Pop-up Shop.		

2.3 THL Journal Entries

Balance Sheet						Income Statement			
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	
(\$3,000) Operating outflow	+	N/A	=	(\$3,000) Accounts payable	+	N/A	+	N/A	
						Revenue	-	Expense	= Net Income
						N/A	-	N/A	= N/A

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 15	A/P	3 000	
	Cash		300
	To record payment to vendor		

2.4 THL Journal Entries

Balance Sheet							Income Statement						
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

2.4a: to record the payment for the advertisement on August 20

Operating outflow	+	\$1,000 Prepaid advertising	=	N/A	+	N/A	+	N/A	N/A	-	N/A	=	N/A
-------------------	---	-----------------------------	---	-----	---	-----	---	-----	-----	---	-----	---	-----

2.4b: to record the completion of the agreement and work completed by the newspaper company

[illegible]

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 20	Prepaid Advertising	1,000	
	Cash		1,000
	Record payment of Advertisement		
August 25	Advertising Expense		
	Prepaid Advertising		
	To account for completion of advertisement		

2.5 THL Journal Entries

Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
\$8,200 <i>Operating inflow</i>	+	\$300 Accounts receivable	=	N/A	+	N/A	+	\$8,500 Retained earnings	\$8,500	-	(see below)	=	\$8,500
N/A	+	(\$2,200) Inventory	=	N/A	+	N/A	+	(\$2,200) Retained earnings	(see above)	-	\$2,200 Cost of goods sold	=	(\$2,200)

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 31	Cash	8,200	
	A/R	300	
	Revenues		8,500
August 31	COGS	2,200	
	Inventory		2,200
	To record Sales made in August		

2.6 THL Journal Entries

Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
(\$3,000) Operating outflow	+	N/A	=	N/A	+	N/A	+	(\$3,000) Retained earnings	N/A	-	\$3,000 Wages expense	=	(\$3,000)

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 31	Wages Expense	3 000	
	Cash		3 000
	To record wages paid in August		

2.7 THL Journal Entries

Balance Sheet						Income Statement			
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	
\$1,000 <i>Operating inflow</i>	+	N/A	=	\$1,000 Unearned revenue	+	N/A	+	N/A	
						Revenue	-	Expense	= Net Income
						N/A	-	N/A	= N/A

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
<i>August 31</i>	<i>Cash</i>	<i>1000</i>	
	<i>Unearned Revenue</i>		<i>1000</i>
	<i>Record Deposit received for Sept 10 Contract</i>		

2.8 THL Journal Entries

Balance Sheet							Income Statement			
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	- Expense = Net Income
(\$1,000) Financing outflow	+	N/A	=	N/A	+	N/A	+	(\$1,000) Retained earnings	N/A	- N/A = N/A

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 31	Dividends	1 000	
	Cash		1000
	To Record payment of Dividend		

THL Journal Entries

ADJ-1: EQUIPMENT

Recognize the use of the equipment for 1 month and therefore record the appropriate depreciation for 1 month.

Balance Sheet										Income Statement					
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
N/A	+	N/A	-	\$100 Accumulated Depreciation	=	N/A	+	N/A	+	(\$100) Retained earnings	N/A	-	\$100 Depreciation expense	=	(\$100)

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 31	Depreciation Expense	100	
	Acc. Depreciation-Equipment		100
	To record Depreciation for month of August		

THL Journal Entries

ADJ-2: INTEREST											
Recognize the passage of time and the “charge” for interest (as “fee for renting money”) relating to August.											
Balance Sheet									Income Statement		
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	
N/A	+	N/A	-	N/A	=	\$50 Interest payable	+	N/A	+	(\$50) Retained earnings	
									Revenue	-	Expense
									N/A	-	\$50 Interest expense
									= Net Income		
									= (\$50)		

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 31	Interest Expense	50	
	Interest Payable		50
	To record accrued interest for August		

THL Journal Entries

ADJ-3: RENT															
Recognize the passage of time and the “charge” for the use of space (i.e. rent) relating to August.															
Balance Sheet									Income Statement						
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
N/A	+	(\$1,000) Prepaid rent	-	N/A	=	N/A	+	N/A	+	(\$1,000) Retained earnings	N/A	-	\$1,000 Rent expense	=	(\$1,000)

	INCREASE (+)	DECREASE (-)
ASSETS	Debit	Credit
LIABILITIES	Credit	Debit
EQUITY	Credit	Debit
REVENUE	Credit	Debit
EXPENSES	Debit	Credit

DATE	Account & Explanation	Debit	Credit
August 31	Rent Expense	1000	
	Prepaid Rent		1000
	To record Rental Expense for August		